

What's Out There

There are several types of plastic cards that are loosely referred to as credit cards, but they don't all work alike. *Major credit cards* include Visa, MasterCard, Discover, and Optima. These card companies allow you to make purchases up to a preset credit limit ranging from \$500 to \$10,000 or more, depending on your income and credit history. You can pay the balance in full each month, the minimum required by the card company (typically around 4 percent of the balance), or any amount in between.

Travel and entertainment cards, including American Express, Diners Club, and Carte Blanche, require you to pay the entire balance due each month. They have no preset credit limits but if you are late with your payment, you may be charged interest or have the use of your card blocked until you catch up.



What are gold and platinum cards?

These are cards that include extra perks such as collision coverage when you rent a car, extended warranties on certain items, travel insurance, discounts, and other benefits. They sound appealing, but consider what exactly you get for the privilege of paying a much higher annual fee. Sometimes the “gold” card is just a plain old card painted gold.

House cards allow you to charge purchases at a particular chain of retailers, such as department stores and gas stations, and make monthly payments, including interest charges. Many retailers do offer certain advantages to their cardholders such as additional discounts on their merchandise and exclusive shopping opportunities, particularly around the holidays. *Smart cards*, the latest in plastic cards, look like credit cards but contain a computer chip with a preset dollar amount built in. Instead of